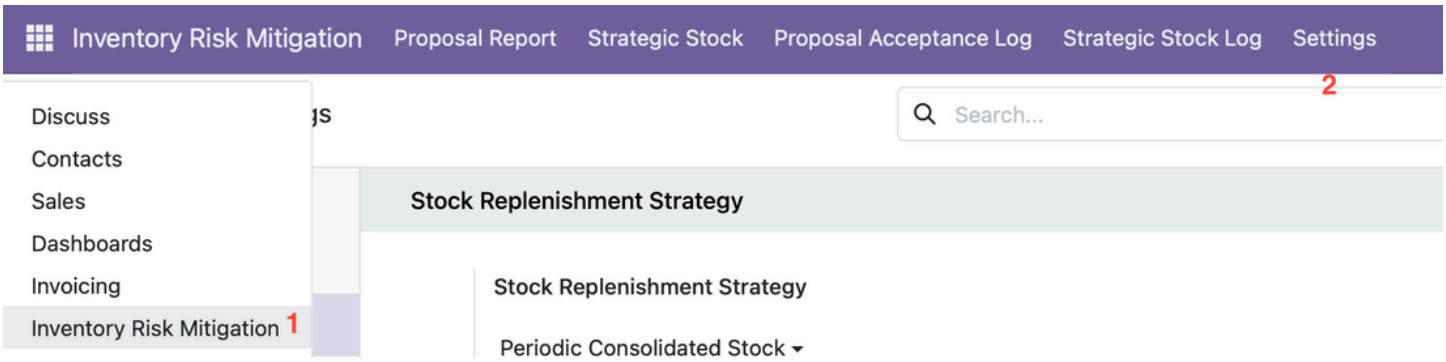
Module Settings

After installing iRM module, the next step is to configure the settings that control how the module evaluates products, classifies inventory, and calculates replenishment recommendations.

All configuration is managed from the module's settings screen.

How to access settings



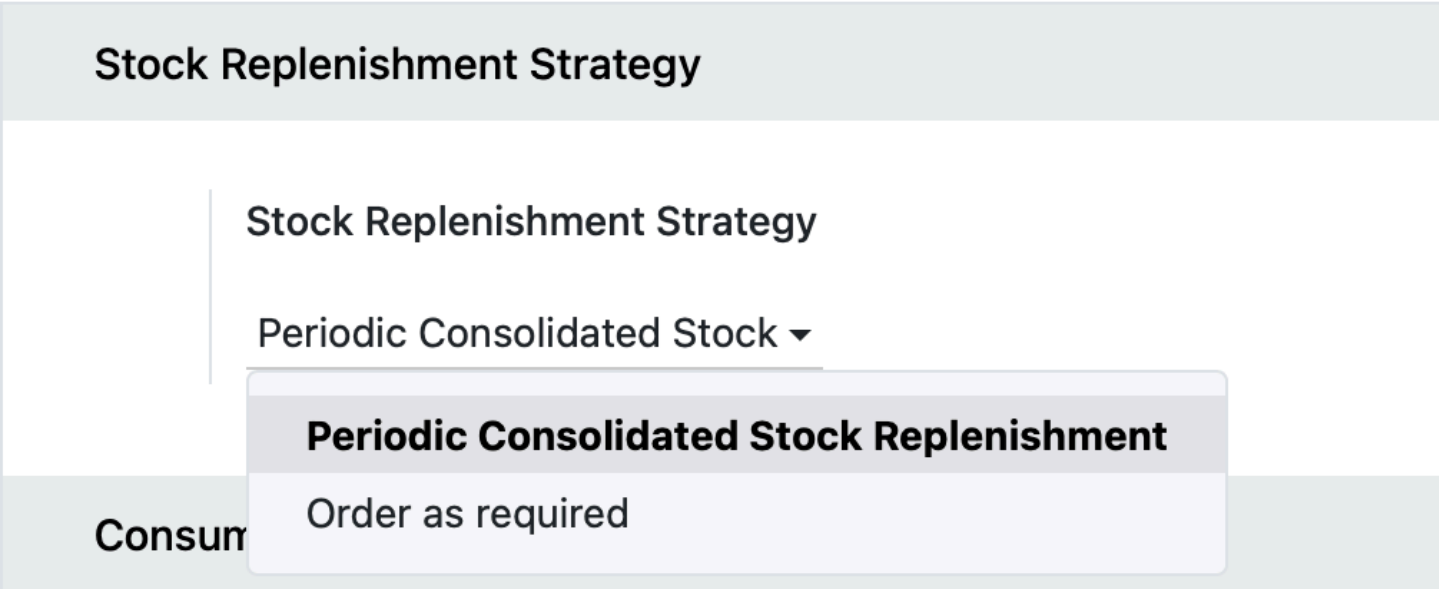
1. Open Inventory Risk Mitigation.
2. Click Settings.

> Review each section in module settings carefully before using the Proposal Report for decision-making to make the most of it and avoid inaccuracies.

The settings in this screen determine how iRM calculates:

- inventory classifications
- preferred service levels
- reorder frequency
- reorder point recommendations
- reorder quantity recommendations

1. Stock Replenishment Strategy



This setting defines the replenishment logic used by the module.

Available Options

- Periodic Consolidated Stock Replenishment
- Order as required

Periodic Consolidated Stock Replenishment is designed for businesses that prefer planned replenishment cycles. In this mode, the module considers forecast holding, replenishment frequency, lead time demand, and safety stock when calculating the recommended maximum stock level and reorder quantity.

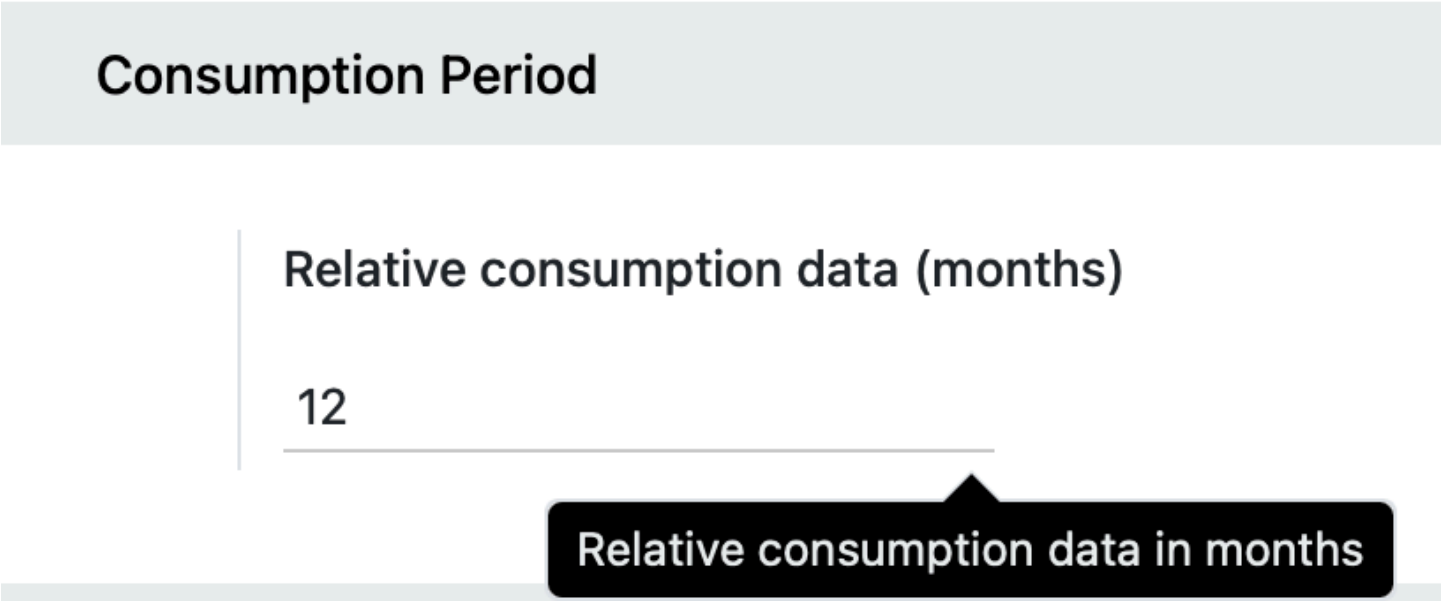
Order as required is designed for businesses that replenish only when needed. In this mode, the module uses the current maximum quantity as the order-up-to level and calculates the reorder quantity based on the gap between current stock on hand and the current maximum.

Recommendation

Use Periodic Consolidated Stock Replenishment if your business uses planned procurement cycles or wants the module to drive structured replenishment recommendations.

Use Order as required if your business typically replenishes reactively and does not operate on fixed replenishment intervals.

2. Consumption Period



Setting

- Relative consumption data in months

Allowed Range is between 6 to 12 months

This value determines how many months of recent demand history are used when calculating variability and smoothing-based measures that support safety stock and replenishment decisions.

A shorter period makes the model more sensitive to recent demand changes.

A longer period gives a broader historical view and may reduce the impact of short-term fluctuations.

Recommendation

- use 6 to 8 months if demand patterns change quickly
- use 9 to 12 months if demand is relatively stable and you want a broader trend view

For most businesses, 12 months is a practical starting point.

3. Defined Consumption Value for Inventory Classification

iRM Module is currency agnostic

iRM can be used in any Odoo company currency.

Monetary calculations and displayed values follow the currency configured for the company in Odoo.

Please note that some field labels currently use the $ symbol as a generic label, but the module is not restricted to USD.

Defined Consumption VALUE for inventory classification (Based on Unit Buy Price)

Inventory Risk Mitigation by Unit Buy Price	Lower bandwidth Value ($)	Higher bandwidth Value ($)
A	150.00	999,999.00
B	100.00	150.00
C	0.01	100.00

The module uses the product's standard cost to determine whether an item belongs in:

- A: high-value item
- B: medium-value item
- C: lower-value item

Editable Values

You can directly maintain:

- B Higher bandwidth Value ($)
- C Higher bandwidth Value ($)

The related lower and upper ranges for the bands are calculated automatically and displayed on screen.

How Classification Works

In practice:

- products with the highest unit cost fall into A
- products in the middle range fall into B
- products in the lowest range fall into C

Recommendation

Set these thresholds based on your business's purchasing profile.

For example:

- if your business carries many expensive products, you may raise the A/B boundary
- if your product range is mostly lower value, you may lower the thresholds so the categories better reflect commercial importance

Important Note

These values should reflect your business's own cost structure, not a generic industry benchmark.

4. Defined Consumption Quantity for Inventory Classification

Defined consumption QUANTITY for inventory classification (Based on average units sold / consumed per month)

Inventory Risk Mitigation by Quantity	Lower bandwidth Qty	Higher bandwidth Qty
X	3.01	999,999.00
Y	1.01	3.00
Z	0.05	1.00

The module uses the product's average monthly smoothed consumption to determine whether an item belongs in:

- X: high-demand item
- Y: medium-demand item
- Z: low-demand item

Editable Values

You can directly maintain:

- Y Higher bandwidth Qty
- Z Higher bandwidth Qty

The related lower and upper boundaries are calculated automatically.

How Classification Works

In practice:

- the highest-demand products fall into X
- medium-demand products fall into Y
- lower-demand products fall into Z

If a product is treated as non-stock by the module, it is assigned ZZ.

Recommendation

Set quantity thresholds that match the normal sales or usage pattern of your business.

If your business deals in very low-volume items, lower thresholds may be more appropriate.

If your business handles high-volume items, you may need significantly higher thresholds so the classification remains meaningful.

5. Service Level Based on Average Monthly Sales / Consumption and Unit Price

Service Level based on Average Monthly Sales / Consumption AND Unit Price

Inventory Value / Demand Mix	Unit Cost of Product	Market Demand / Consumption	Organisation's Preferred DIFOT Service Level Percentage	Overall Average DIFOT Percentage
AX	High	High	96%	
AY	High	Medium	93%	93%
AZ	High	Low	90%	
BX	Medium	High	97%	
BY	Medium	Medium	94%	94%
BZ	Medium	Low	91%	
CX	Low	High	98%	
CY	Low	Medium	95%	95%
CZ	Low	Low	92%	

Please select Service Level % for each category from drop-down box.

Total Average: **94%**

Reset to Defaults

This section is one of the most important configuration areas in the module.

Setting unrealistic preferred DIFOT (Delivery in Full on Time) directly affects the recommendations on reordering rules.

It defines the preferred service level for each combined inventory class:

- AX, AY, AZ
- BX, BY, BZ
- CX, CY, CZ

What This Means

Each code combines:

- product value classification: A, B, or C
- demand classification: X, Y, or Z

Example:

- AX = high value, high demand
- CZ = low value, low demand

For each combination, you select the preferred service level percentage.

Why It Matters

The selected service level drives the Z-value used in the safety stock formula.

This means the service level settings directly influence:

- safety stock
- reorder point
- recommended stock holding levels

Typical Configuration Logic

A business may choose:

- higher service levels for critical, fast-moving, or high-risk items
- lower service levels for slower-moving or less critical items

Example policy direction:

- AX, BX, CX: usually higher service levels
- AZ, BZ, CZ: usually lower service levels

Recommendation

Set service levels in line with your operational goals:

- if service availability is critical, use higher percentages
- if reducing stock investment is more important, use more conservative values

Not sure where to start?
Reset to Defaults to restore the default frequency values.

6. Stock Replenishment Frequency (in Weeks)

Service Level Selection Criteria

Stock Replenishment Frequency (in weeks)

Stock Classification	Inventory Risk Mitigation	Reordering frequency IN WEEKS based on delivery lead time from supplier for consolidated delivery to optimise freight cost and warehouse handling		
		Delivery Lead time 1-2 weeks	Delivery Lead time 3-6 weeks	Delivery Lead time 7+ weeks
Stock	AX	2	4	12
Stock	AY	2	4	12
Stock	AZ	2	4	12
Stock	BX	2	4	12
Stock	BY	2	4	12
Stock	BZ	2	4	12
Stock	CX	2	4	12
Stock	CY	2	4	12
Stock	CZ	2	4	12
Non Stock	ZZ	0	0	0

Reset to Defaults

This section defines how often products should be replenished based on:

- inventory classification
- lead-time grouping
- freight method grouping

How This Section Works

Each classification row represents an inventory risk category:

- AX, AY, AZ
- BX, BY, BZ
- CX, CY, CZ
- ZZ

Each row contains three replenishment frequency values:

- Delivery Lead time 1–2 weeks
- Delivery Lead time 3–6 weeks
- Delivery Lead time 7+ weeks

These represent replenishment frequency in weeks for products that fall into that classification.

How the Module Uses It

For each product, the module:

1. calculates the product's inventory classification
2. determines the lead-time bucket
3. selects the matching replenishment frequency from this matrix
4. uses that frequency in the reorder calculation

How to Configure It

Enter the number of weeks that best reflects how often you want to replenish products in each class.

Example approach:

- higher-priority classes such as AX may have shorter replenishment cycles
- lower-priority or slower-moving classes such as CZ may have longer replenishment cycles
- ZZ is used for non-stock items and normally remains 0

Recommendation

Start with simple business rules:

- fast-moving and important items: shorter intervals
- slower-moving and less critical items: longer intervals
- non-stock items: keep at 0

Not sure where to start?
Reset to Defaults to restore the default frequency values.

7. Suggested Configuration Sequence

For a first-time setup, it is recommended to configure the settings in the following order:

1. Set the Stock Replenishment Strategy.
2. Set the Consumption Period.
3. Configure the Value classification thresholds.
4. Configure the Quantity classification thresholds.
5. Configure the Service Level matrix.
6. Configure the Replenishment Frequency matrix.
7. Save the settings.
8. Review products in the Proposal Report.

This sequence helps ensure the classification logic is defined before replenishment outputs are reviewed.

Strategic Stock Management

Strategic Stock Management is not configured through the main module settings page.

This feature is managed individually at product level through the Strategic Stock Management tab on each product record. Use this tab when a product requires special or temporary stockholding treatment.

Refer Strategic Stock Management guide for explanation of its usage.

8. Best Practice Recommendations

Start Simple

Begin with a practical first version of the settings rather than trying to perfect every number immediately.

Align With Business Policy

Your thresholds and service levels should reflect:

- product importance
- cost sensitivity
- demand predictability
- desired customer service level
- purchasing and freight cycles

After saving the settings, open the Proposal Report and review a sample of products from different categories to ensure the outputs align with business expectations.

Refine Over Time

It is normal to adjust the values after reviewing live product results.